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Grant Management

Successful organizations manage grants and donors

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Abstract

Grant management is a critical, often overlooked, aspect of project and organizational management. Many organizations move into implementation and pursue other grants, but fail to manage the most important element: the grants they've secured and their relationships with funders. Setting up sound financial management controls, assigning grant management to competent staff, having the same staff manage the entire grant, and looking at reporting as a learning opportunity are critical components of successfully managing grants. This chapter is based on a workshop on July 23, 2025, for a wide group of California-based forest business practitioners. We offer a practical case study on reporting automation that applies to any type of grant management.

Keywords g, r, a, n, t, s, ,, , m, e, d, o

1. Takeaways

1. Grant management is critical to project and organizational success, yet doing it well is often overlooked or given a lower priority.
2. Consistency with funders, whether they're public, foundation, or private, is of utmost importance. Don't assign grant management to interns, new staff, or temporary staff.
3. Get to know your program officer or grant manager and make their life easy. See number 2: have the same person manage the grant end to end.
4. Create a strong, auditable, and accurate financial accounting system that also automates reporting or is flexible for each funder to create reports from your P&L ledger.
5. Make reporting do double duty. At its worst, reporting can be drudgery. Change that and make reports effective communication tools for your project and organizational successes. Build reporting into your organizational learning and evaluation cycles. Some organizations use their annual report for both public outreach and donor reporting.

2. Budget

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> "A budget is telling your money where to go instead of wondering where it went."
>
> — John Maxwell

Preparing a good budget during the proposal stage makes grant administration easier. A solid budget prevents surprises and serves as a roadmap for managing and tracking resources effectively.

Some common reasons why good organizations and smart people prepare bad budgets include:

- Lack of coordination/disconnect between technical/program and budget/finance (so cost and tech don't align)
- Costs that are not based on historical or real data
- Most time spent on design/technical, so not enough time allocated for budget
- Activities outlined during the design phase cost more than the money available

After you win a grant, budget tracking is essential:

- Ensures Funds Are Spent as Planned: Aligns expenditures with the approved grant budget and timeline.
- Monitors Progress & Performance: Helps track spending against milestones and deliverables.
- Identifies Issues Early: Flags overspending, underspending, or misallocations before they become problems.
- Supports Accurate Reporting: Provides documentation for financial reports, audits, and funder updates.
- Enables Informed Decisions: Real-time tracking supports smart adjustments and resource reallocation if needed.

> **Automate Expense Tracking**
>
> Automate expense tracking as much as possible. Many apps let employees track expenses and upload receipts. These can be fed directly into your accounting system.

2.a. Match

Match tracking is essential for meeting grant obligations and can be critical for leveraging future grants:

- Meets Grant Obligations: Many grants require matching contributions (cash or in-kind); accurate tracking ensures compliance.
- Provides Verifiable Documentation: Track source, type (cash/in-kind), value, and date of each match with proper records.
- Supports Audit-Ready Reporting: Matching funds must be documented and reportable, just like grant expenditures.
- Demonstrates Stakeholder Commitment: Shows funders that your organization and partners are invested in the project.
- Prevents Disqualification: Incomplete or inaccurate matching fund records can jeopardize current or future funding.

> **Match Plan**

> Create a plan to meet the match requirements and track your progress from the start.

3. Planning

Just as a good budget is connected to financial management and reporting, a solid implementation plan is required for tracking progress toward your project's goals and objectives. Although you should have fleshed out activities when designing your project and creating its budget, the proposal you submitted often lacks the level of detail project managers need for implementation.

Once funding is obtained, detailed implementation planning produces updated schedules, plans, targets, and systems with enough detail to support effective project implementation. Some organizations call this start-up planning. Detailed implementation planning is closely tied to monitoring, evaluation, and learning.

3.a. DIP

Why do detailed implementation planning (DIP)? Detailed implementation planning helps ensure a project fulfills its contractual obligations. These include the following:

- Conducting project activities that lead to the delivery of outputs that meet quality standards, are on time, and within budget;
- Using and managing project resources in conformity with budgets and accounting standards and rules; and
- Complying with any relevant conditions of the Award Agreement.

DIPs are usually prepared after a proposal is approved and funded, but before implementation begins. DIPs may be undertaken annually, for the life of the project, or both. If completed for the life of the project, the DIP is still revised and updated annually. DIPs are referred to as annual work plans.

> **Proposals are not DIPs**
>
> **Remember**: Your project proposal is not a DIP, because it does not have the required level of detail to use as a plan for implementation. Even the best M&E plan in a well-done proposal needs to be operationalized during detailed implementation planning. Operationalizing means making the plan operational, i.e., providing enough detail to implement it. However, DIPs do not start with a blank page. A proposal provides the basis for a strong DIP through its Proframe, M&E plan, Activity Schedule, organizational structure and staffing plans, budget, and other elements. Many steps in detailed implementation planning involve reviewing, updating, correcting, and further specifying elements already in the proposal.

If you use FBA's templates and guidance to design your project, you will have at least the beginnings of DIP and a project tracking system. FBA created the ProFrame/DIP worksheet specifically to identify CAL FIRE metrics and set associated targets required for the application.

3.b. Monitoring

Design teams, especially those creating complex, multi-year projects, should consider drafting a MEL plan for their use that also responds to CAL FIRE's information needs. Chapter 4 Monitoring provides a primer to help you create a MEL plan. When developing a MEL plan, create specific, measurable, achievable, relevant, and time-bound (SMART) indicators for all your goals, objectives, intermediate results, and outputs.

The e-Civis Grant Portal Goals worksheet, which is used to input project metrics and targets, does not require fully articulated indicators. Nevertheless, it is worthwhile to develop such indicators, along with the rest of the MEL plan, to support your monitoring and evaluation work.

4. Reporting

All funding organizations require activity (progress) and financial reports. Complete these reports accurately and promptly. This helps you and your grant organization stay on schedule, meet reporting requirements, ensure transparency with your funding agency, maintain compliance, and support future funding opportunities.

4.a. CAL FIRE

CAL FIRE usually requires an activity report with every invoice, and prefers them to arrive together. Use this section to track your project milestones and deliverables. Describe your accomplishments and challenges, and highlight any adjustments or improvements you plan to implement. This is a good time to review your approved scope of work and make sure your activities align with your grant deliverables. Submit Activity Reports on a regular schedule (CAL FIRE requires at least one per quarter, not more than one per month).

Grant Invoicing & Reporting Tips

- Get organized!
- Use standardized templates and automate portions of your report for accuracy and ease of replication.
- Always communicate with your grant manager about any issues.
- Make sure you have backups, especially for financial information
- Use reporting to benefit your business/organization. **Don't make reporting drudgery!**Use it to build organizational learning and communication assets. You decide on the reporting format. Sometimes, donors may unnecessarily request too much or ask for it in a challenging format. Work with them constructively to reduce friction, automate processes, and achieve productive outcomes.

4.b. Financial

Financial reporting is where you lay out your costs associated with the activities performed during the reporting period. Provide detailed expenditures by budget category. You would also include any matching contributions you may have that were recorded during the Reporting Period. Please include backup documentation (e.g., receipts, timesheets, and vendor invoices). Financial reports must reconcile with your internal accounting records. Your Financial Report is a summary of what your costs were for your Reporting Period. Don't forget to stay on track with your grant timeline and budget.

4.c. Automation

Many software packages manage and automate financial tracking and reporting. Some are better at project management, while others excel at financial tracking. Most focus on small to medium-sized businesses and may offer reporting templates, but they're typically not relevant to forest product businesses or nonprofits, or they are exceptionally expensive and include many features you won't use or need.

QuickBooks is a good solution for desktop or online financial management and is well integrated with taxes for businesses and nonprofits. It doesn't help you manage the project or write reports, but it will export P/L ledgers and other relevant financial information useful for reporting. It requires a subscription, and the software is proprietary.

Miradi is a well-thought-out program planning and project management software. It is available online or as a desktop version and nicely integrates projects from situation assessment, theory of change, results chains, progress tracking, budgeting, and reporting. It has a subscription plan of $350/year (2025), with more if you want to customize report templates. Still, the community, connection to many foundations and nonprofits that adopted the Conservation Standards, and integration of the entire project make it a worthwhile investment if you choose to operate in that system. It is geared more towards nonprofits, however, so it may not be as useful for small business owners.

Markdown-based knowledge management systems such as Obsidian are another project management resource. With plugins such as Hearth that create dashboards (potentially for each of your projects) and are written in Markdown, which is usable across many platforms, you can create a project-management workflow that saves time and keeps you on top of all tasks. Further integration with Base within Obsidian lets you quickly index multiple files and qualitative and quantitative data.

A wise person once said to use programming to automate the boring stuff, and reporting can sometimes be the less exciting part of your work, particularly for large agency grants. Try the Python automation below if you're comfortable using a command-line interface in a terminal or prefer a DIY approach.

The same Propongo software is also available as a browser-based app you can fill out and then export to Word, PDF, and HTML. This approach means fewer steps to get a consistent report format, and the browser-based version lets you import customized snippets of frequently used language in your proposals or reporting. Although Propongo is limited to proposals and grant project tracking, you may expand it to other repetitive grant management aspects, such as financials and contracting.

Propongo

We offer a simple example that requires some setup time but automates your reporting in a customizable format. Like any recipe, there are a few *mise en place* steps to take before the fun stuff, especially if you've never coded before. Don't worry, none of it is difficult, and once you set it up and it works, you can step outside your office, beat your chest, and yell, "I am a coding superstar!" Well, maybe don't yell that. Remember, if you don't want to install using a terminal, you can also just go to the web-based app for Propongo

1. If you're on Windows, make sure to install GTK3 first.
2. Install conda. Decide if you want the lightweight command interface, Miniconda, or the desktop-based Anaconda. The latter is easier to use, but uses significantly more space on your hard drive. Alternatively, you can skip conda and install [uv] instead. UV is faster and manages virtual environments more efficiently in a single file. You can find a guide in the propongo installation instructions.
3. Continuing with conda, open a terminal. In Windows, press the Windows key and type 'terminal,' then open the Terminal app or Windows PowerShell. You should see the following:

```
(base) C:\Users\yourusername>
```

4. Create a conda virtual environment. Never install packages in your base environment to avoid incompatibilities that can affect your base (which you can't delete) and make troubleshooting harder. Choose an environment name; let's call it 'propo' (use a short name, five letters or less) in this case. Type the following command in the terminal and hit enter:

```
(base) C:\Users\yourusername> conda create -n propo python
```

The terminal will start installing the new environment. When it says `Proceed ([y]/n)?` hit enter or y on your keyboard. Conda will download the necessary files and provide instructions for activating or deactivating the new env.

4. Check installation and activate the auto virtual environment. Run the following in your terminal:

```
(base) C:\Users\yourusername> conda env list
```

You should see a list of installed conda environments, including propo, and their respective locations. The active env should be the base and have an asterisk next to it. Now activate auto:

```
(base) C:\Users\yourusername> conda activate propo
```

> You should see the following:
>
> ```
> (propo) C:\Users\yourusername>
> ```
>
> 5. Install propongo:
>
> ```
> (propo) C:\Users\yourusername> pip install propongo
> ```
>
> The install will download and install. You can verify the installation by typing `conda list`, and it will appear alongside the other installed packages.
>
> 6. Run propongo:
>
> - Activate the virtual env by running `conda activate propo` or use whatever name you've decided.
> - Open a terminal and on the command line, type `propongo`.
> - propongo will run the script; you'll see progress in the terminal, and a report in Word will be produced.
> - Follow the pages at the top to enter information from scope to budget and timeline.
> - Once basic information is entered and if the project is funded, you can switch to project management mode using the hamburger menu.
>
> Documentation with examples on how to use the software is at the propongo site. Please let us know if you use it and have any issues or feature requests.

5. Best Practices

- Use standardized templates provided by the funder–CAL FIRE provides a template for you to use as a payment reimbursement form.
- Keep records organized and audit-ready–always prepare your documents with the thought of an auditor in mind.
- Always communicate with your grant manager about any issues or changes.